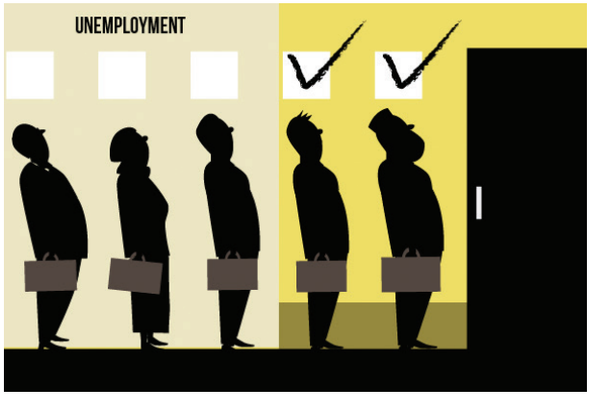
in an inflationary spiral of wages and prices".

Every economy in the world aims at attaining the level of full employment equilibrium where all its available resources are fully and efficiently employed to achieve maximum level of output. But in reality, the concept of full employment generally refers to full employment of labour force of a country.

3.3 Unemployment and its types

Unemployment is problem faced when there are people, who are willing to work and able to work but cannot find suitable jobs.

While formulating policies to solve the problem of unemployment in India for instance, we need to distinguish between the nature of unemployment in rural

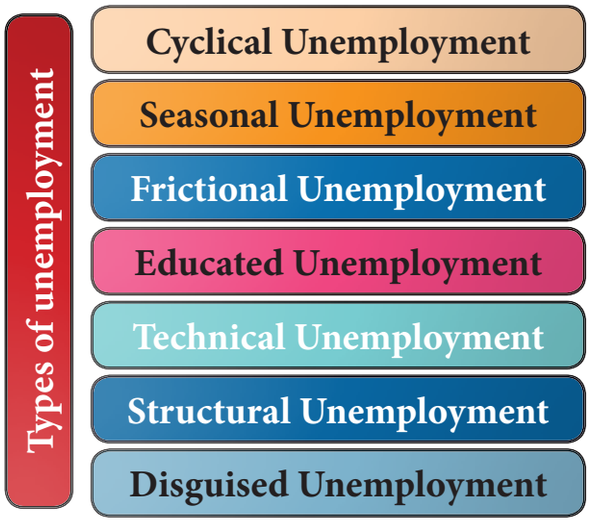


areas and in urban areas in India. India's rural economy has both unemployment and underemployment. The major feature of rural unemployment is the existence of unemployment in the form of disguised unemployment and seasonal unemployment. In India, frictional, structural and open unemployment exist in urban areas. Due to urbanization, a large number of people move from rural areas to urban areas. This migration from rural to urban areas increases the size of labour force in urban areas and adds to the already unemployed labour force.

Types of unemployment :

In developing countries like India, the nature of unemployment is different from that of developed countries. In developed countries, the unemployment is purely temporary or cyclical or frictional. But in the developing countries, it is largely structural unemployment which is due to slow rate of capital formation.

The following are the types of unemployment.



1. Cyclical Unemployment

This unemployment exists during the downturn phase of trade cycle in the economy. In a business cycle during the period of recession and depression, income and output fall leading to widespread unemployment. It is caused by

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